

ive, while continued government spending should indirectly benefit the sector in FY26. Further, urbanisation is accelerating, especially in Tier II and III cities, which should drive the next wave of real estate demand.

On the other hand, the combined profit of defence firms increased nearly 18% in FY25 as against 39% in FY24 and 12% in FY23. “Driven by a steady rise in orders, the government’s push for indigenisation and growing export opportunities, defence companies have delivered robust numbers,” says Devarsh Vakil, Head of Prime Research, HDFC Securities.

The combined net profit of FMCG companies hit a record high of nearly ₹74,000 crore in FY25, as against ₹55,000 in FY24. The sector witnessed the highest profit growth in at least five years. “India’s consumption story is structural. With the world’s largest and youngest population and rising

incomes, demand continues to grow across rural and urban markets. Beyond staples like detergents and home care, faster growth is coming from evolving segments such as personal care, snacking, beverages, ready-to-eat, and eating out,” says Singh. Good monsoons last year, as well as this year, have brought back rural demand, boosting FMCG, which was struggling post-pandemic.

But the IT sector is struggling. The combined revenue of all players increased just 5% for the second straight year.

Vakil of HDFC Securities has a cautious view and says the sector is facing significant headwinds from escalating tariff wars and trade tensions, which are threatening to disrupt cross-border operations and increase costs for companies heavily reliant on global delivery models and H-1B visa programmes. The rapid advancement of artificial intelligence (AI) poses an existential challenge to traditional IT services business models, as AI-powered automation threatens to replace routine coding, testing, and maintenance tasks that form the backbone of many service contracts.

CAPEX CYCLE

In spending, government-led capex continued to be the primary avenue for asset building in FY25, as it has been over the last three years. However, public spending slowed in H1FY25 due to election-related constraints. A full-fledged and sustained rebound in private sector capex was missing despite the government’s nudge.

As per the CMIE Economic Outlook, the value of projects completed by the private sector stood at ₹2.7 lakh crore in FY25, down 25% YoY. The number was ₹3 lakh crore for the public sector, down 49% YoY. Several experts

**EXPERTS
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LEAD GROWTH**

70 |

A SNAPSHOT

- 1 Balance sheet of India Inc looks robust with low debt and strong internal accruals funding capex
- 2 FY25 profit growth remained stable, despite muted topline and external macroeconomic headwinds
- 3 Private capex remains subdued, but is expected to pick up as consumption and utilisation improve
- 4 Earnings of defence, real estate and FMCG sectors outperformed in FY25, while IT and capital goods faced headwinds
- 5 Policy support and rate cuts signal optimism, but global uncertainties still pose challenges ahead

